3.4.3 Fractional Reserve Banking

So far, we've talked about how central banks like the Federal Reserve manage the money supply, how banks make money for themselves, and a few strategies on how to save money, but we haven't yet discussed how new money is actually created and introduced into a society. It might seem like magic, but there is an interesting process behind it.

How does **new** money actually enter circulation and fuel economic growth? Unlike physical resources like food or water that can run out - money has no fixed limit! So how does it work?

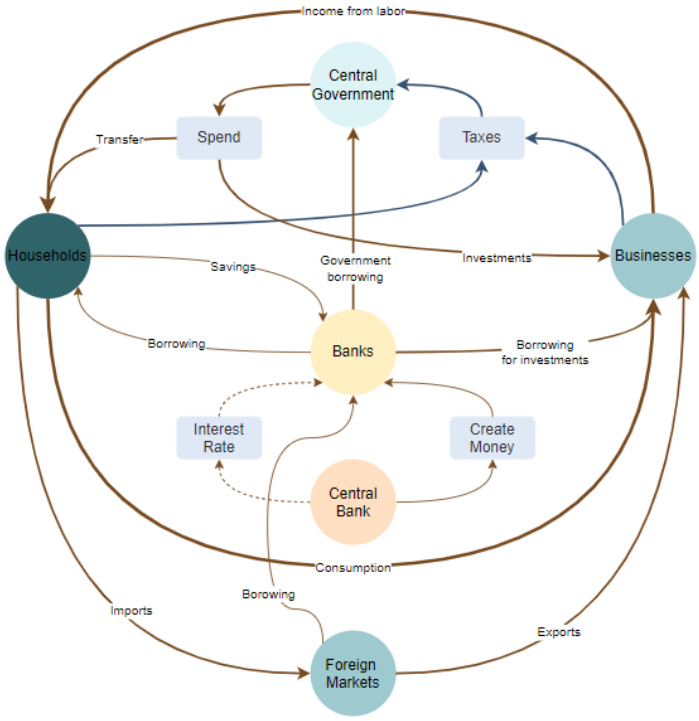
The **government** the **central bank**, and **private banks** all play a role in this process.

Here is a simplified version of how the Federal Reserve (Fed) can add $100 million into circulation:

1. The Fed determines that it wants to increase the money supply by $100 million. This decision is typically made based on the Fed's **monetary policy goals**, such as boosting economic growth or stabilizing prices.
2. The Fed instructs a large commercial bank to create a $100 million deposit in its account at the Fed. This deposit is created out of thin air and is not backed by any physical assets.

- When a commercial bank creates a deposit at the Fed, it is essentially borrowing money from the Fed. The Fed provides the bank with the funds for the deposit, and in return, the bank must pay interest on the loan and eventually pay the loan back.

3. The member bank then uses this new $100 million deposit to make loans to businesses or individuals, or to purchase securities such as government bonds.
4. The businesses or individuals who receive these loans can then use the money to make purchases, pay bills, or invest in other assets. This increases the overall supply of money in the economy.
5. As the money is circulated and spent, it eventually ends up in other banks, which can then use it to make their own loans and investments. This process continues until the $100 million has been fully injected into circulation.



Overall, the Fed's ability to add new money into circulation through the banking system helps to stimulate economic growth and achieve its monetary policy goals.